

SECTORS OF THE INDIAN ECONOMY

Class 10 Economics – Complete Notes

1. Introduction

An economy is made up of different activities that produce goods and services. These activities can be classified into different sectors on the basis of the nature of economic activity, ownership and working conditions.

The three major sectors based on the nature of economic activity are:

1. Primary Sector
2. Secondary Sector
3. Tertiary Sector

2. Primary Sector

The **primary sector** includes activities that directly use natural resources.

Examples:

- Agriculture
- Fishing
- Forestry
- Animal husbandry
- Mining
- Dairy farming

Agriculture is an important activity in the primary sector.

Why is it called the Primary Sector?

It is called the primary sector because it forms the base for many other economic activities.

For example, cotton produced by farmers is used by industries to manufacture clothes.

3. Secondary Sector

The **secondary sector** includes activities in which natural products are changed into other forms through manufacturing and processing.

Examples:

- Manufacturing
- Food processing
- Textile production
- Construction
- Sugar production
- Automobile manufacturing

Example

Cotton → Yarn → Cloth → Garments

The processing and manufacturing activities involved in this process belong mainly to the secondary sector.

4. Tertiary Sector

The **tertiary sector** provides services rather than producing goods directly.

Examples:

- Banking
- Transport
- Communication
- Education
- Healthcare
- Tourism
- Insurance
- Trade
- Information technology

The tertiary sector is also called the **service sector**.

5. Interdependence of the Three Sectors

The three sectors are closely connected.

For example:

A farmer produces cotton in the **primary sector**.

A textile factory converts cotton into cloth in the **secondary sector**.

Transport, banking, communication and marketing services help move and sell the cloth. These activities belong mainly to the **tertiary sector**.

Thus:

Primary Sector → Secondary Sector → Tertiary Sector

All three sectors depend on one another.

6. Comparing the Three Sectors

Primary Sector	Secondary Sector	Tertiary Sector
Uses natural resources directly	Converts raw materials into finished goods	Provides services
Agriculture, fishing, mining	Manufacturing, construction	Banking, transport, education
Produces raw materials	Produces manufactured goods	Provides support and other services

7. Final Goods and Intermediate Goods

When calculating the total production of an economy, we must avoid counting the same product more than once.

Final Goods

Goods that are purchased for final use and are not used for further production are called **final goods**.

Intermediate Goods

Goods that are used as inputs in producing other goods are called **intermediate goods**.

Example

If wheat is sold to a flour mill, it is an intermediate good.

If flour is purchased by a household for making food, it is a final good.

8. Gross Domestic Product (GDP)

Gross Domestic Product (GDP) is the total value of all final goods and services produced within a country during a given period, generally a year.

GDP helps us understand the size and performance of an economy.

Only the value of final goods and services is counted to avoid double counting.

9. Historical Changes in the Importance of Sectors

In the early stages of economic development, the primary sector was the most important sector.

As industrialisation developed, the importance of the secondary sector increased.

With further economic development, the tertiary sector became increasingly important.

Thus, the structure of an economy changes with economic development.

10. Rising Importance of the Tertiary Sector

The tertiary sector has become increasingly important because:

1. Development of Agriculture and Industry

Agriculture and industries require transport, banking, communication, storage and insurance services.

2. Increase in Income

As people's incomes rise, they demand more services such as education, healthcare, tourism and banking.

3. Development of Information Technology

The growth of computers, internet services and communication technologies has created many new service-sector activities.

4. Government Services

Government provides services such as education, healthcare, administration, police and defence.

11. Employment in the Primary Sector

A large number of people in India depend on agriculture and other primary-sector activities for employment.

However, the amount of work available may not always be sufficient for all workers.

This leads to a major problem called **underemployment**.

12. Disguised Unemployment

Disguised unemployment occurs when more people are working in an activity than are actually required.

Example

Suppose five members of a family are working on a small farm, but the work can be completed by only three people. If two people leave the farm, total production may remain almost unchanged.

The two extra workers are considered to be disguisedly unemployed.

Important Point

Disguised unemployment is particularly common in agriculture in developing economies.

13. Underemployment

Underemployment means that people are employed but are not working to their full capacity or are doing less work than they could potentially do.

For example, a person may be willing and able to work more hours but gets work only for a few hours.

14. Creating More Employment

The government can create more employment opportunities by investing in infrastructure and public services.

Examples:

- Irrigation projects
- Roads
- Schools
- Hospitals
- Storage facilities
- Transport systems
- Rural development projects

Such activities can generate employment directly and indirectly.

15. MGNREGA

The **Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005** aims to provide guaranteed wage employment to rural households, subject to the provisions of the Act.

It provides a legal guarantee of wage employment for rural households willing to do unskilled manual work.

Main Features

- It focuses on rural areas.
- It provides wage employment.
- It aims to create useful rural assets.
- It supports livelihood security.
- It can help reduce rural unemployment.

16. Organised and Unorganised Sectors

The economy can also be divided into the **organised sector** and the **unorganised sector** on the basis of employment conditions.

17. Organised Sector

The organised sector includes enterprises and workplaces where employment conditions are generally regulated and workers receive benefits according to applicable laws.

Examples:

- Government offices
- Banks
- Registered factories
- Large companies
- Registered institutions

Features

- Regular employment
 - Fixed working conditions
 - Better legal protection
 - Greater job security
 - Various employment benefits, depending on the job and applicable laws
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18. Unorganised Sector

The unorganised sector consists of small and scattered units where employment conditions may not be properly regulated.

Examples:

- Small shops
- Street vendors
- Casual labourers
- Domestic workers
- Small workshops
- Many agricultural workers

Features

- Irregular employment
- Low or uncertain wages
- Limited job security
- Fewer employment benefits
- Less protection under formal workplace arrangements

19. Organised vs Unorganised Sector

Organised Sector

More regulated

Better job security

Working conditions are generally defined

Greater access to employment benefits

More likely to have written employment arrangements

Unorganised Sector

Less regulated

Less job security

Working conditions may be uncertain

Limited employment benefits

Many workers may have informal arrangements

20. Public Sector

The **public sector** consists of organisations and activities owned or controlled by the government.

Examples:

- Indian Railways
- Government hospitals

- Government schools
- Post offices
- Public administration

The government undertakes activities in the public sector for social welfare and the provision of essential services, not only for profit.

21. Private Sector

The **private sector** consists of businesses owned and managed by private individuals or companies.

Examples:

- Private schools
- Private hospitals
- Private factories
- Private banks
- Private companies

The main objective of most private-sector enterprises is to earn profit.

22. Public Sector vs Private Sector

Public Sector

Owned or controlled by government

Focuses strongly on public welfare and essential services

Government manages or supervises activities

Examples: government hospitals, railways

Private Sector

Owned by private individuals or companies

Generally operates with profit as an important objective

Private owners or companies manage activities

Examples: private companies, factories

23. Why is the Public Sector Important?

The public sector is important because some activities are essential for society but may not always be profitable for private businesses.

The government provides or supports:

- Roads
- Schools
- Hospitals
- Drinking water
- Electricity
- Public transport
- Law and order
- Defence

The government also works to reduce economic inequalities and promote social welfare.

24. Key Differences Among Different Classifications

Economic activities can be classified in different ways.

Based on Nature of Activity

Primary → Secondary → Tertiary

Based on Employment Conditions

Organised → Unorganised

Based on Ownership

Public → Private

These classifications look at different aspects of economic activities.

25. Important Terms

Primary Sector

The sector that directly uses natural resources.

Secondary Sector

The sector that converts raw materials into manufactured goods.

Tertiary Sector

The service sector that provides various services.

GDP

The total value of final goods and services produced within a country during a given period.

Disguised Unemployment

A situation where more people are employed than actually

required.

Underemployment

A situation where people work below their full potential or available capacity.

Organised Sector

A sector where employment conditions are generally regulated and workers receive legal protection and benefits according to applicable laws.

Unorganised Sector

A sector where employment conditions are generally less regulated and workers have limited protection.

Public Sector

A sector owned or controlled by the government.

Private Sector

A sector owned and managed by private individuals or companies.

26. Quick Revision

- The economy is divided into different sectors.
- The **primary sector** uses natural resources directly.
- The **secondary sector** manufactures goods.
- The **tertiary sector** provides services.
- The tertiary sector is also called the **service sector**.
- GDP measures the value of final goods and services produced in an economy.
- Disguised unemployment is common in agriculture.
- MGNREGA provides a legal guarantee of wage employment in rural areas, subject to the Act.
- The organised sector generally provides greater legal and employment protection.
- The unorganised sector generally has less regulated employment conditions.
- The public sector is owned or controlled by the government.
- The private sector is owned and managed by private individuals or companies.

27. Important Exam Questions

Very Short Answer Questions

1. What is the primary sector?
2. What is the secondary sector?
3. What is the tertiary sector?
4. Why is the tertiary sector called the service sector?
5. What is GDP?
6. What is disguised unemployment?
7. What is underemployment?
8. What is MGNREGA?
9. What is the organised sector?
10. What is the unorganised sector?
11. What is the public sector?
12. What is the private sector?

Short Answer Questions

1. Explain the differences between the primary, secondary and tertiary sectors.
2. Why has the tertiary sector become important in the Indian economy?
3. Explain disguised unemployment with an example.
4. How can more employment opportunities be created in rural areas?
5. Explain the main features of MGNREGA.
6. Differentiate between the organised and unorganised sectors.
7. Why is the public sector important?
8. Differentiate between the public and private sectors.

Long Answer Questions

1. Explain the classification of economic activities into primary, secondary and tertiary sectors.
2. Explain the importance of the tertiary sector in the Indian economy.
3. What is disguised unemployment? Explain how it can be reduced.
4. Compare the organised and unorganised sectors.

5. Explain the importance of the public sector in an economy.
6. Explain the different ways in which economic activities can be classified.

28. One-Page Revision Formula

Nature of Activity:

Primary → Natural Resources

Secondary → Manufacturing

Tertiary → Services

Employment Conditions:

Organised → Regulated & Greater Protection

Unorganised → Less Regulated & Limited Protection

Ownership:

Public → Government

Private → Individuals/Companies

Major Problem:

Agriculture → Disguised Unemployment

Important Government Programme:

MGNREGA → Rural Wage Employment

Important Measure:

GDP → Value of Final Goods & Services